
MEMORANDUM

TO: Mayor Patrick Collins, and City Council
FROM: TJ Barttelbort, Purchasing Manager *TJB*
DATE: January 18, 2022
SUBJECT: Consideration to Purchase between the City of Cheyenne, and KONE, Inc., for the repair of the South East Hydraulic Elevator located at the Jack Spiker Parking Garage

This is a single source purchase through KONE, Inc., therefore no bids were requested.

The City of Cheyenne is currently under Contract with KONE, Inc. to provide elevator maintenance for the Jack Spiker Parking Garage, therefore the City is engaging KONE, Inc. to provide the necessary repairs as they will have continued responsibility for the maintenance of the elevator.

The primary scope of work for the repairs is to furnish and install a new hydraulic power unit for the elevator.

The City of Cheyenne, Facilities Maintenance Division, has provided the following notes to document the history of the elevator:

1. The Spiker Parking Garage structure was built in 2004 and the equipment is original to the building.
2. The elevator is under contract with KONE and receives quarterly inspections.
3. All city elevators are under contract for maintenance with KONE except One (1) which is under contract with Schindler.
4. The assumption is that the elevator has been abused by transients over the course of its life and has become problematic recently.

The total request purchase amount is \$42,665.00

Funding: General Fund Reserves / \$42,665.00



REQUEST FOR SOLE/SINGLE SOURCE PURCHASE

DIRECTIONS:

Complete this form for all purchase requests with a sole/single source vendor. Send to the Purchasing Office before purchasing the item(s) along with the letter from the vendor indicating they are the sole/single supplier. **If over \$34,999.99, attach a copy of the legal ad and place on council**

Name: Steve Gaer

Date: 01/12/2022

Division/Department: Public Works/Facilities

ITEM DESCRIPTION: Replace power unit for the South East elevator of the Jack R. Spiker Parking Structure.

AMOUNT OF PURCHASE: ~~\$44,205.00~~ \$42,665.00

STATE REASON FOR SOLE SOURCE PURCHASE: The contractor responsible for the maintenance should do the replacement.

Signature of Requesting Individual: Steve Gaer

DIVISION/DEPARTMENT HEAD APPROVAL:

Name: Dicki Nemecsek

Date: 1-12-2022

COMMENTS: Approved.

For Purchasing Office use only:

Sole/Single Source Letter Attached: Yes ☒ No

Legal Ad Attached: ☒ Yes / No

Finance Dates: February 7, 2022

City Council Dates: January 24 & February 14, 2022

Date: _____

RECEIVED

By TJ Barttelbort at 3:10 pm, Jan 14, 2022

TJ Barttelbort

Revised 2014

REQUEST TO PURCHASE OVER \$35,000.00

Consideration to Purchase between the City of Cheyenne, and KONE, Inc., for the repair of the South East Hydraulic Elevator located at the Jack Spiker Parking Garage, in an amount of \$42,665.00. This is a single source purchase, therefore no bids were requested.

This will be reviewed by the City Council Finance Committee on February 7, 2022 and voted on at the February 14, 2022 City Council meeting.

TJ Barttelbort, Purchasing Manager
City of Cheyenne, Wyoming
(307) 773-1045

Published in: Wyoming Tribune-Eagle
Dates: January 20 & 27, 2022

TJB

January 10, 2022

City of Cheyenne
Jack Spiker Parking Garage
322 W. Lincoln Way
Cheyenne, WY 82001

Attn: Steve

KONE Inc.
8585 Concord Center Drive
Suite 900
Englewood, CO 80112
www.kone.com
scott.prussia@kone.com

Description of Work: Power Unit and Oil

We propose to furnish and install the labor, materials, tools and supervision to perform the following work on the South East Hydraulic Elevator located at the Jack Spiker Parking Garage in Cheyenne, WY.

We will furnish and install a new hydraulic power unit. The motor and pump will be submersed under the oil inside the tank in order to provide for sound isolation. A muffler, designed to reduce pulsation and noise, which may be present in the flow of hydraulic oil, will be provided in the oil line at the top of the pump.

Control valves, including a safety check valve, an up direction valve with high pressure relief including up leveling and soft stop features and a lowering valve including down leveling and manual leveling feature, will be mounted in a compact unit assembly. A shut off valve, designed to shut off the flow of oil between the cylinder and the Power Unit, will be provided in the oil line in the machine room. Automatic two-way leveling will be provided to automatically stop and maintain the car approximately level with the landing, regardless of change in load.



Benefits:

- Improves ride quality and smoother starts & stops throughout the ride
- Improves passenger and tenant satisfaction by reducing noise pollution and vibration
- Improves reliability and availability - reduces service interruptions
- Reduces operating expenses for service requests not covered under your agreement
- Improves parts availability for power units which are obsolete and parts that are not readily available
- Improves leveling - minimizes the risk of tripping hazards which improves safety and reduces claims risk

Comprised of four major components – the tank, valve, pump and pump motor – which operate together to control the oil flow required to move and stop the elevator. Improper operation by any of the components in the power unit can result in more shutdowns, safety tripping hazards, entrapments, slower performance, uncomfortable start/stop & ride and more.

Proactive Replacement

- Avoids unplanned disruption
- Minimizes disruption, as your elevator is operational while components are shipped. Downtime becomes just days for the upgrade, rather than weeks for the component leadtimes
- Improves tenant experience by allowing you to schedule this at the best time and provide advance notice

Complete Replacement

- Upgrading the entire power unit at once is more cost effective and efficient than upgrading the components individually
- Power units come packaged as a unit which are 'born' together. Upgrading individual components and introducing new components with older components may cause problems

New AW32 hydraulic oil will be furnished and installed. The existing oil will be pumped out and removed of properly.

Price

Our total price to perform the above-mentioned work amounts to \$42,665.00 exclusive of sales taxes.

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Our price includes applicable labor, material and permit fees. This proposal is not binding on KONE until approved by an authorized KONE representative. Pricing is subject to KONE's attached Terms and Conditions for tendered repairs and, by signing below, Purchaser hereby agrees to these Terms and Conditions. Price is valid for 30 days from the date of this proposal.

ACCEPTANCE: The foregoing Agreement is hereby signed and accepted in duplicate on behalf of City of Cheyenne.

Respectfully submitted by,
KONE Inc.

(Signature)

Scott Prussia, Sales Executive

(Print Name)

(Approved By) Authorized Representative

(Print Title)

Title

Date: ____ / ____ / ____

Date: ____ / ____ / ____

TERMS AND CONDITIONS

This proposal is subject to the following terms and conditions, all of which are hereby agreed to:

KONE shall submit invoices for the value of material delivered and/or labor performed, less the down payment paid at the time of proposal acceptance. A final invoice shall be issued by KONE upon completion of the work and shall include all balances due. Purchaser agrees to pay the amount of any tax imposed by any existing law, or by any law enacted after the date of this Agreement, based upon the transfer, use, ownership or possession of the equipment involved in the services rendered herein. KONE reserves the right to discontinue our work at anytime until we have assurance, satisfactory to us, that payments will be made as agreed. Final payment shall become due and payable upon completion of the work described in this Agreement. Failure to pay any sum due to KONE within thirty (30) days of the invoice will be a material breach. A delinquent payment charge calculated at the rate of 1½ % per month, or if such rate is usurious then at the maximum rate under applicable law, shall be applied to the delinquent payments. In the event of default on the payment provisions herein, Purchaser agrees to pay, in addition to any defaulted amount, all attorney fees, collection cost or court costs in connection therewith. The machinery, implements and apparatus furnished hereunder remain KONE's personal property and KONE retains title thereto until final payment is made, with right to retake possession of the same at the cost of the Purchaser if default is made in any of the payments, irrespective of the manner of attachment to the realty, the acceptance of notes, or the sale, mortgage or lease of the premises.

The states requiring notice prior to filing a lien, this notice requirement is hereby complied with.

KONE shall not be liable for damage or delay caused directly or indirectly by accidents, embargoes, strikes, lockouts, work interruption or other labor dispute, fire, theft, floods, or any cause beyond KONE's control. Regardless of the type of delay, KONE shall not be liable for any indirect, consequential, or special damages including but not limited to fines, penalties, loss of profits, goodwill, business or loss of use of equipment or property.

Purchaser agrees to provide safe access to the equipment and machine room areas. Should conditions develop beyond KONE's control, making the building or premises in which KONE's personnel are working unsafe, KONE reserves the right to discontinue work until such unsafe conditions are corrected. Should damage occur to KONE's material or work on the premises, by fire, theft or otherwise, Purchaser shall compensate us therefore.

Notwithstanding anything contained to the contrary within this proposal, KONE's work shall not include any abatement or disturbance of asbestos containing material (ACM), presumed asbestos containing materials (PACM) or other hazardous materials (i.e. lead, PCBs) (collectively "HazMat"). KONE shall have the right to discontinue its work in any location where suspected HazMat is encountered or disturbed. Any HazMat removal or abatement, or delays caused by such, required in order for KONE to perform its work shall be the Customer's sole responsibility and expense.

KONE undertakes to perform this work in conformity with the usual applied codes and standards, however, no guarantee can be made that all code violations or defects have been found. This work is not intended as a guarantee against failure or malfunction of equipment at any future time.

It is agreed and understood that KONE is not responsible for damages, either to the vertical transportation equipment or to the building, or for any personal injury or death, arising from or resulting from any code required safety tests performed on this equipment.

Nothing in this agreement shall be construed to mean that KONE assumes any liability of any nature whatsoever arising out of, relating to or in any way connected with the use or operation of the equipment described above. Purchaser shall be solely responsible for the use, repair and maintenance of the equipment and for taking such steps including but not limited to providing attendant personnel, warning signs and other controls necessary to ensure the safety of the user or safe operation of the equipment.

Neither KONE nor its affiliates, subsidiaries or divisions shall be responsible or liable for any damages, claims, suits, expenses and payments on account of or resulting from any injury, death or damage to property arising or resulting from the misuse, abuse or neglect of the equipment herein named or any other device covered by this contract.

Purchaser shall at all times and at Purchaser's own cost, maintain a commercial general liability policy covering bodily injury and property damage with the limits of liability Purchasers customarily carry (naming KONE as additional insured) arising out of the services provided under this Authorization and/or the ownership, maintenance, use or operation of the equipment described herein.

It is agreed and understood that Purchaser is solely responsible for ongoing maintenance and care of the equipment described above. IT IS EXPRESSLY UNDERSTOOD, IN CONSIDERATION OF OUR PERFORMANCE OF THIS WORK THAT PURCHASER ASSUMES ALL LIABILITY FOR THE USE, MAINTENANCE OR OPERATION OF THE EQUIPMENT DESCRIBED ABOVE AND FOR ANY INJURY, INCLUDING DEATH, TO ANY PERSON OR PERSONS AND FOR DAMAGE TO PROPERTY OR LOSS OF USE THEREOF, ON ACCOUNT OF OR RESULTING FROM THE PERFORMANCE OF THE WORK TO BE DONE HEREIN, AND AGREES TO THE EXTENT PERMITTED BY LAW TO DEFEND, INDEMNIFY AND HOLD HARMLESS KONE, ITS OFFICERS, DIRECTORS AND EMPLOYEES FROM ALL DAMAGES, CLAIMS, SUITS, EXPENSES AND PAYMENTS ON ACCOUNT OF OR RESULTING FROM ANY SUCH INJURY, DEATH OR DAMAGE TO PROPERTY, EXCEPT THAT RESULTING FROM THE SOLE NEGLIGENCE OF KONE INC. Purchaser hereby waives any and all rights of recovery, arising as a matter of law or otherwise, which Purchaser might now or hereafter have against KONE Inc.

KONE warrants the materials and workmanship of the equipment for 90 days after completion. Purchaser's remedy is limited to repair or replacement of a defective part, in KONE's sole discretion. The warranty is limited to the replacement or repair of the part itself, and excludes labor. In no event shall KONE be responsible for damage due to normal wear and tear, vandalism, abuse, misuse, neglect, work or repairs or modifications by others, or any other cause beyond the control of KONE. KONE disclaims any other warranty of any kind, either expressed or implied, including without limitation the implied warranties of merchantability or fitness for a particular purpose, or noninfringement.

Unless otherwise agreed, it is understood that the work shall be performed during regular working hours of regular working days of the elevator trade. If overtime work is mutually agreed upon and performed, the additional price, at KONE's usual rates for such work, shall be added to the contract price herein named.

It is expressly understood and agreed all prior agreements written or verbal regarding the subject matter herein are void and the acceptance of this Agreement shall constitute the contract for the material and work specified in this Agreement. Any changes to this Agreement must be made in writing and signed by both parties.

The terms and conditions set forth herein shall constitute the complete agreement for any work performed, AND shall prevail over and supersede any terms and conditions contained in any documents provided by the Purchaser.

The Purchaser does hereby agree the exclusive venue for any dispute between the parties shall be in the county of Rock Island, IL.